

ENTREPRENEURSHIP

Lecture – October 20, 2025

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Professorship in Entrepreneurship and Management



Organizational Information

Practice in Entrepreneurship – Start-up Simulation

Block seminars (selectable)

- » October 23 & 24, 2025 – Block seminar 1 (both days all day from 8 am to 6 pm)
- » October 30 & 31, 2025 – Block seminar 2 (both days all day from 8 am to 6 pm)
- » October 29 & 31, 2025 – Block seminar 3 (both days all day from 8 am to 6 pm)
- » November 7 & 8, 2025 – Block seminar 4 (both days all day from 8 am to 6 pm)
- » November 6 & 7, 2025 – Block seminar 5 (both days all day from 8 am to 6 pm)
- » November 13 & 14, 2025 – Block seminar 6 (both days all day from 8 am to 6 pm)

Few remaining
places available

Please contact Ms Gertraud Gänser-Stickler gaenser-stickler@wiso.uni-koeln.de in case of any questions.

Organizational Information

Practice in Entrepreneurship – Start-up Simulation

Registration

- » Where? You can register via the survey in the Ilias course of this lecture
- » When? Registration is open Oct 9th - Oct 15th
 - » Please indicate your availability for each date
 - » We will not allocate you to one of the excluded dates if you provide a valid reason why you are not available (e.g., exam, other lecture)
- » We will allocate you to a practice based on your response and notify you by October 17th
- » Not happy with your date? You can **swap with other students** by emailing ims@wiso.uni-koeln.de
 - » Please provide **both** names, student number, and smail-account
 - » Swapping is only possible if you have a partner

Few remaining
places available

Agenda

1. **Recap**
2. Start-up Entrepreneurship
3. Corporate Entrepreneurship

1. Fundamentals of Entrepreneurship

Defining Entrepreneurship

Capital formation	Entrepreneurship involves the assumption of risk, which can be accompanied by a facilitation of production. Profits can be made for taking the risk.
Company design	Entrepreneurship results in the creation of new businesses in areas where none existed before.
Innovation Design	Entrepreneurship deals with unique combinations of resources that render existing methods or products obsolete.
Job Creation	Entrepreneurship deals with hiring and managing employees and developing factors of production including labour.
Design of Change	Entrepreneurship involves shaping change by adapting, and modifying one's approaches and skills to take advantage of a wide variety of opportunities in the environment.
Value Creation	Entrepreneurship is a process of creating value for customers by leveraging untapped potential.
Growth Creation	Entrepreneurship is defined as a strong and positive orientation toward growth in sales, income, assets, and employment.

Kuratko et al. 2011, according to Engelen et al. 2015

1. Fundamentals of Entrepreneurship Comparison

	Discovery Theory	Creation Theory
Origin of the opportunity	Opportunities exist independently of entrepreneurs.	Opportunities do not exist without entrepreneurs.
Origin of entrepreneurs	Entrepreneurs differ from non-entrepreneurs, since only they can 'discover' the opportunity	Entrepreneurs do not differ ex ante from non-entrepreneurs.
Origin of the decision context	Risk	Uncertainty (complexity, chaos)

2.3 Fundamental principles of Effectuation

Differences between Causation & Effectuation

	Causation	Effectuation
View on the future	Predictable	Influenceable
Basis for action	Goal-oriented	Means-oriented
Risik orientation	Expected profit	Affordable loss
Attitude towards external parties	Competitive	Cooperative
Attitude towards unexpected situations	Avoid	Pursue emerging opportunities

The diagram consists of three rectangular boxes. At the top left is a green box labeled 'Start-up Entrepreneurship'. At the top right is a blue box labeled 'Corporate Entrepreneurship'. Below these two boxes is a single, wider blue box labeled 'Fundamentals of Entrepreneurship'. The layout suggests that the fundamentals of entrepreneurship serve as a foundation for both start-up and corporate entrepreneurship.

**Start-up
Entrepreneurship**

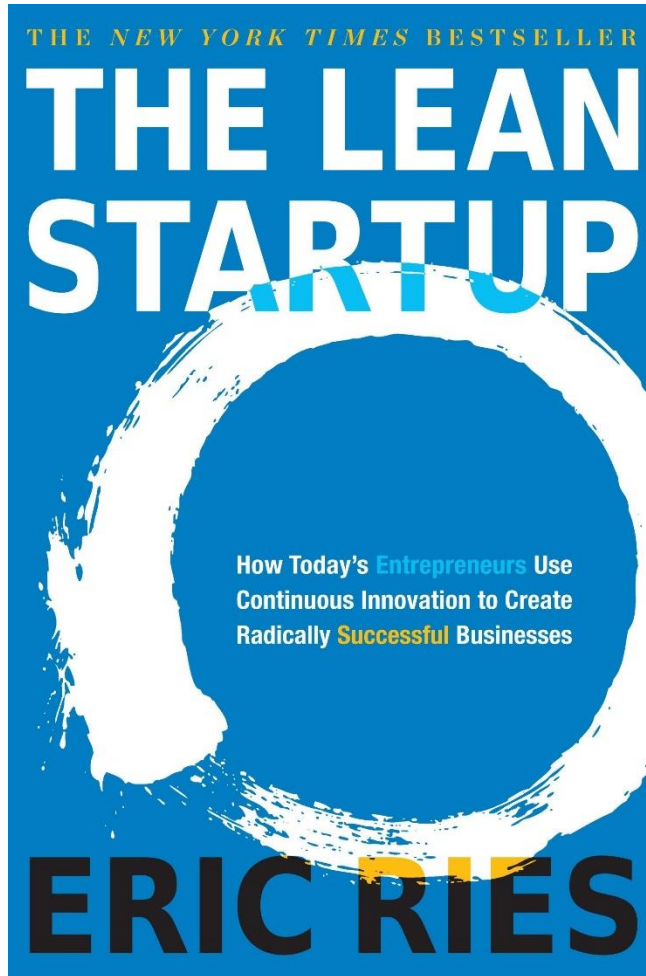
**Corporate
Entrepreneurship**

Fundamentals of Entrepreneurship

Agenda

1. Fundamentals of Entrepreneurship
2. Start-up Entrepreneurship
 1. Fundamentals & Definition
 2. Why do people found?
 3. Fundamental principles of Effectuation
 4. **The first steps - Lean Start-up**
 5. Types of start-ups
 6. The suitable business model
 7. What belongs in a Business Plan?
 8. Financing of start-up
 9. Entrepreneurial Ecosystems
 10. AI and Entrepreneurship
3. Corporate Entrepreneurship

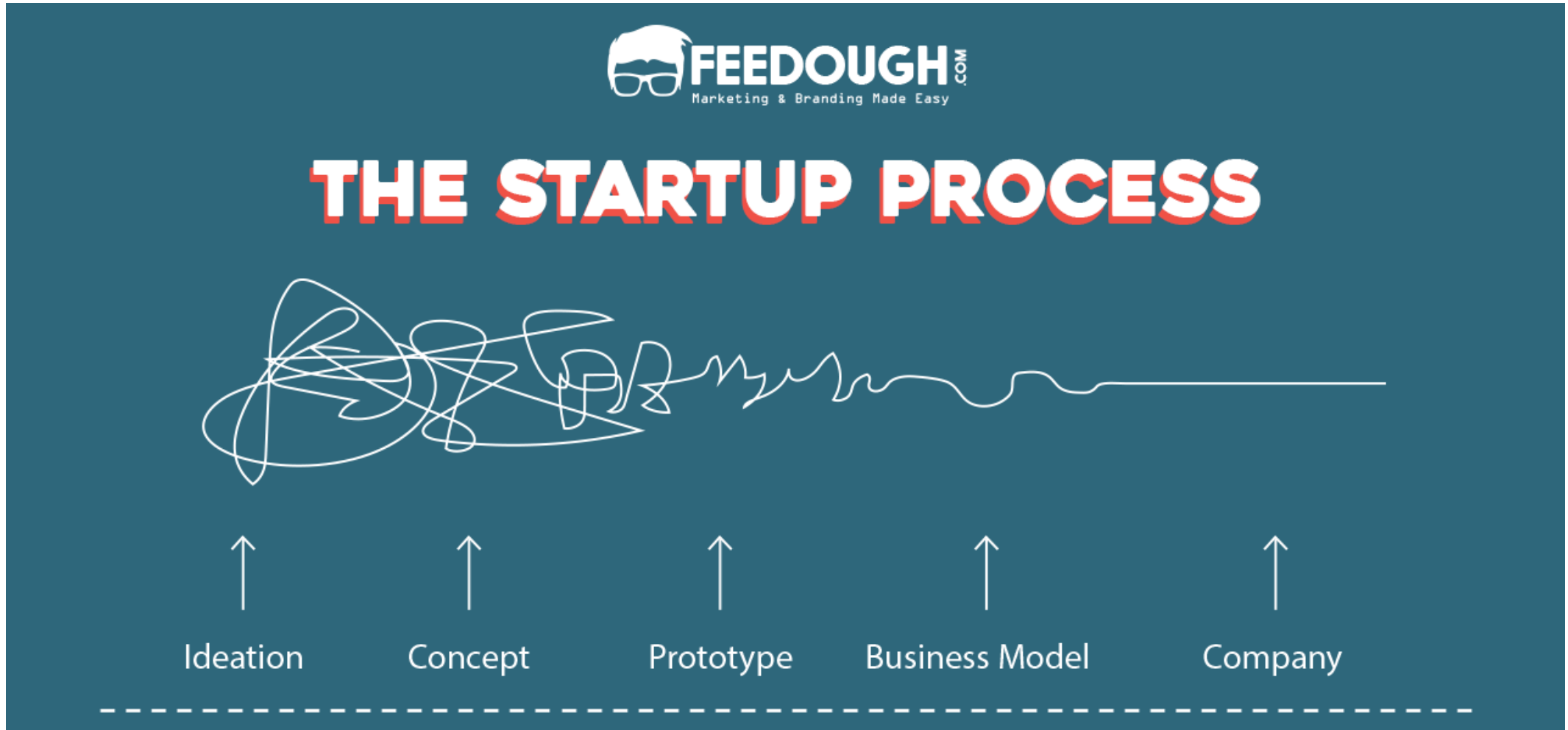
2.4 The first steps - Lean Start-up



Lean-Startup is an approach to setting up a company in which all processes are kept as lean as possible.

Goal: bring an idea or a product to the market as quickly as possible in order to get customer feedback as quickly as possible through "learning by doing"

2.4 The first steps - Lean Start-up



2.4 The first steps - Lean Start-up

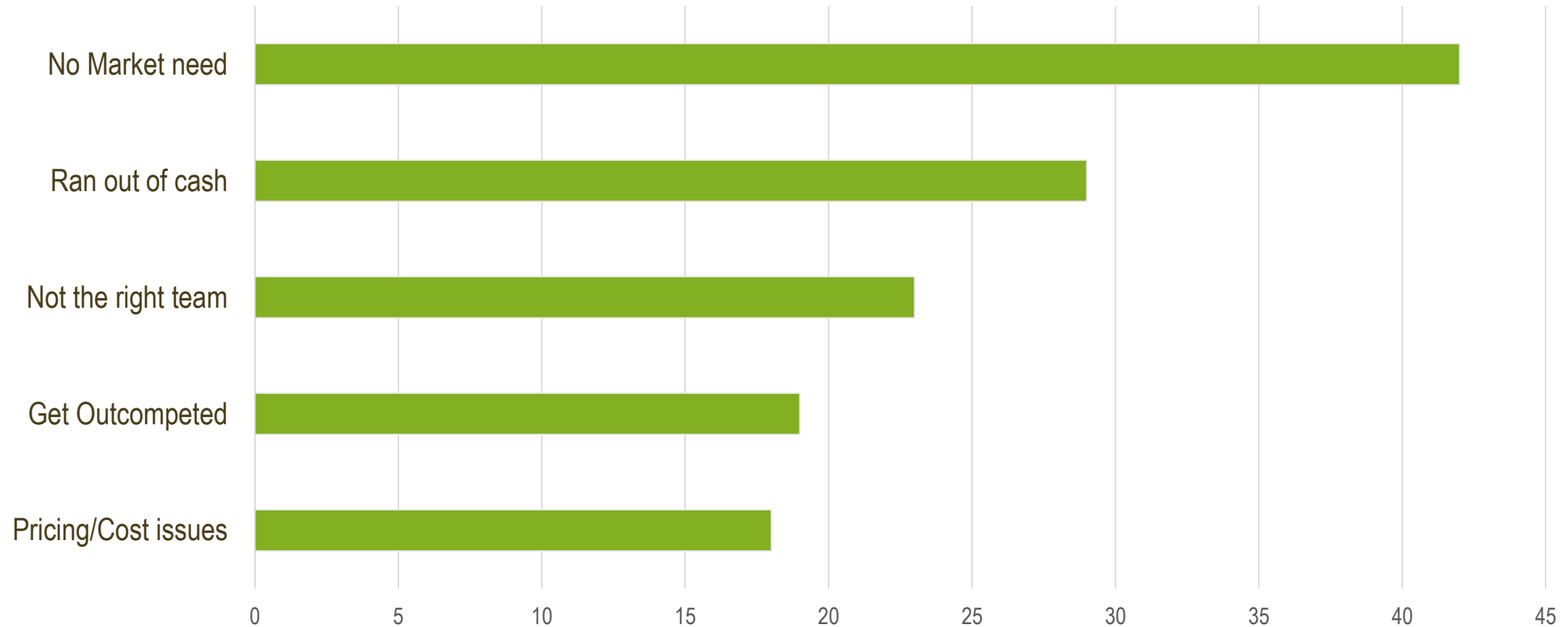
Example

Heyfair



2.4 The first steps - Lean Start-up Failure

Top five reasons why start-ups fail

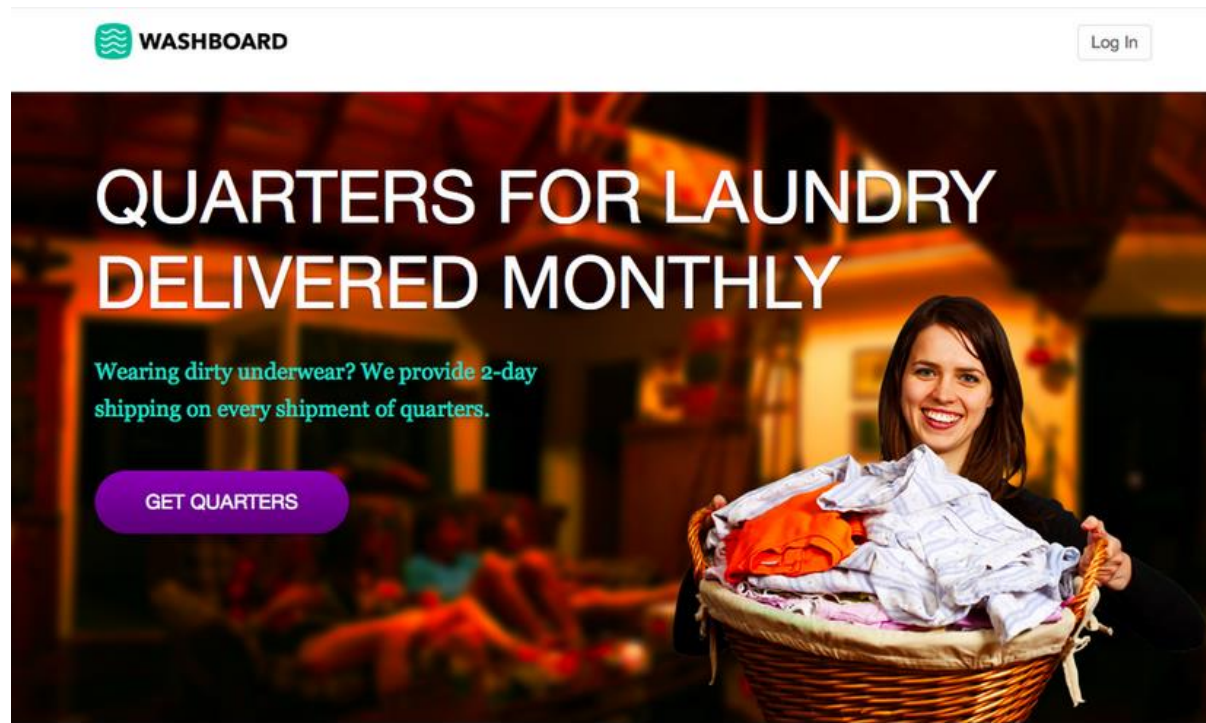


2.4 The first steps - Lean Start-up Failure

Special importance of missing market need

„The hard part is finding the problem to solve“

Kevin Systrom, Co-Founder and CEO of Instagram



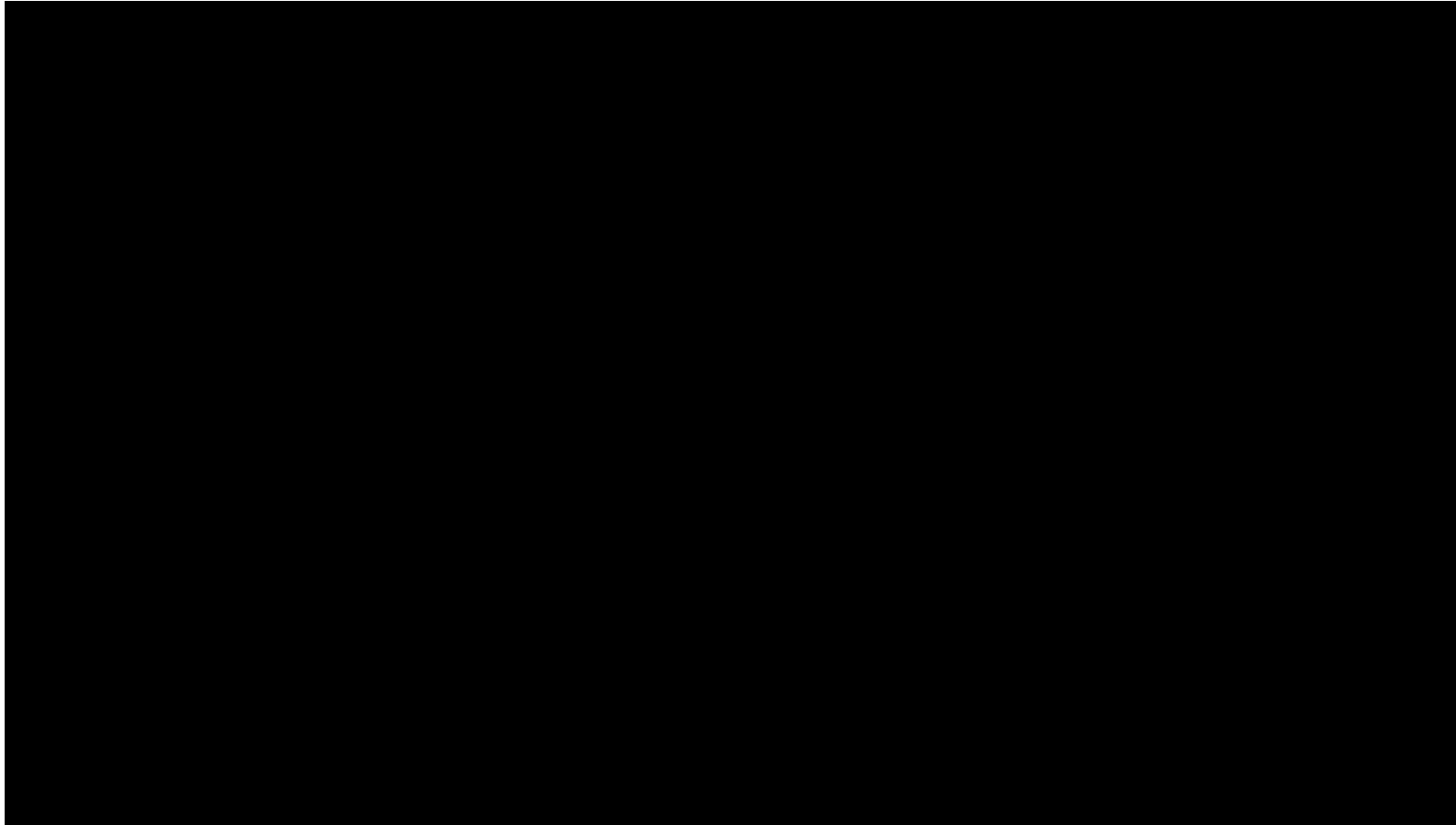
2.4 The first steps - Lean Start-up Failure

Costs incurred

Category	Costs	Moderators
Financial	- Loss or reduction of an income stream - Debts	- Insolvency law - Escalation of Commitment - Type of investment (gradual or all at once) - Principle of "acceptable loss"
Social	- Loss of important personal relationships (divorce, etc.) - Loss of a trusting work network - Stigmatization	- Insolvency law - Cultural handling of failure - Reasons for failure (bad luck or self-inflicted?)
Psychological	- Emotional costs - Loss of motivation	- Training and experience - Proportion of failure - Optimism - Emotional intelligence

2.4 The first steps - Lean Start-up

Is failure always negative?



https://www.youtube.com/watch?v=m1xFN6nDoDY&feature=emb_logo

Christian Lindner im Landtag NRW 29.01.2015

2.4 The first steps - Lean Start-up

Is failure always negative?



2.4 The first steps - Lean Start-up

Example

Xbox 360

- » Nick Baker, 37-year-old systems architect at Microsoft
- » Worked on many failed projects
 - » Apple Computer's defunct graphics card business
 - » 3DO's failed game consoles
 - » Microchip start-up that scuttled a deal with Nintendo
 - » WebTV
 - » Microsoft's defunct satellite recorder business
- » Breakthrough: Xbox 360
- » Through its failure, Baker learned:
 - » Balance power consumption and performance in game consoles
 - » How to deal with false starts
 - » Resilience

Takahashi, 2006 according to Engelen et al. 2015

2.4 The first steps - Lean Start-up

Discussion

Learning through failure

Task in small groups:

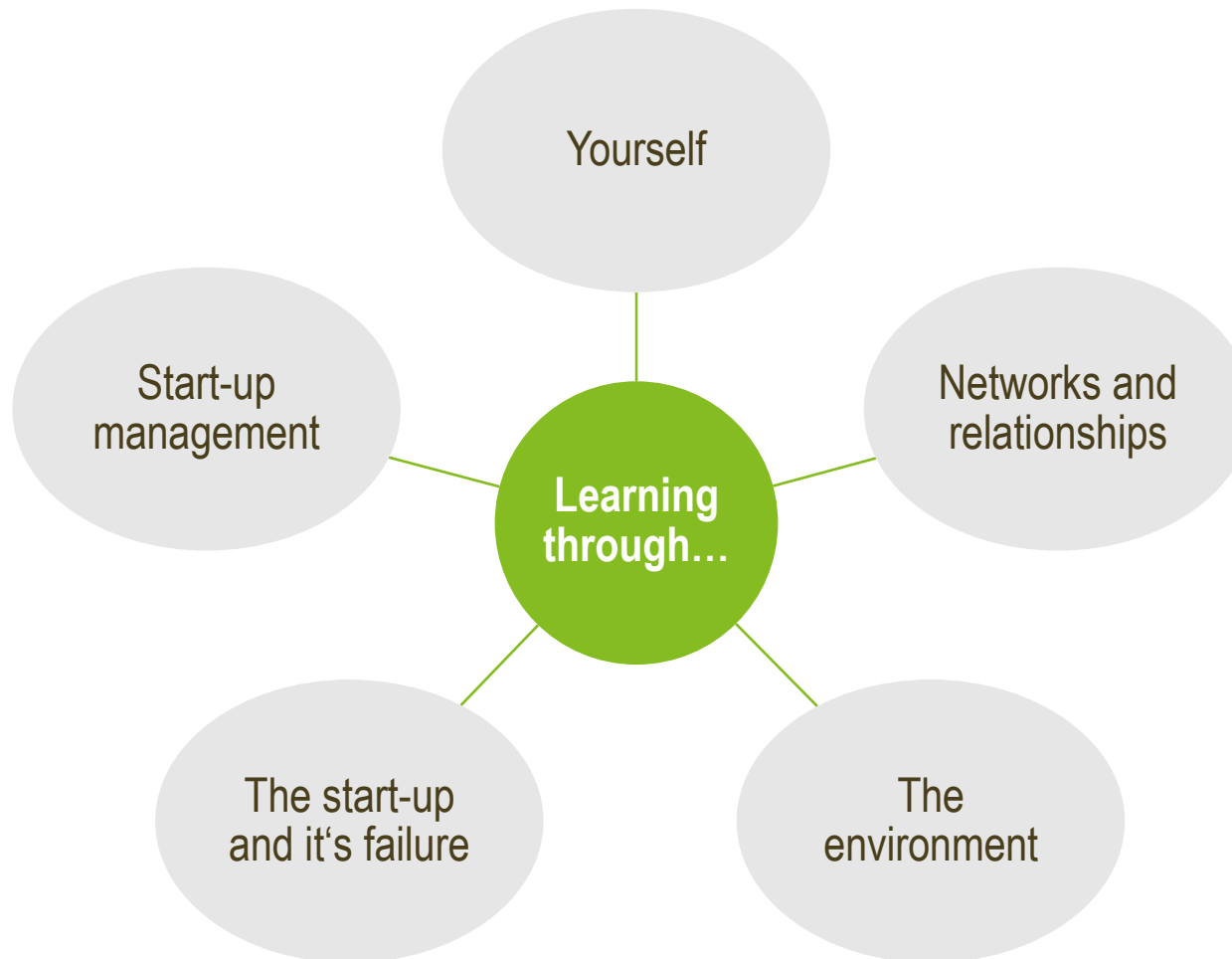
Discuss in which areas of life you learn when you fail with a start-up



2.4 The first steps - Lean Start-up

Discussion

Learning through failure



2.4 The first steps - Lean Start-up

Collecting Feedback



2.4 The first steps - Lean Start-up

Collecting Feedback



How can we learn from potential users when everyone is lying?

2.4 The first steps - Lean Start-up

Collecting Feedback

Rule 1 – Pitch nothing, sell nothing

Would you buy these wonderful sports shoes for an unbeatable 40€?

I read that ...

A colleague told me that ...

2.4 The first steps - Lean Start-up

Collecting Feedback

Rule 2 – Ask open Questions

You eat in the cafeteria to save time, right?

You probably go to the cafeteria at least 3 times a week, right?

Why do you eat in the cafeteria?

How often do you go to the cafeteria?

2.4 The first steps - Lean Start-up

Collecting Feedback

Rule 3 – 80% listening



20 % speaking

80% listening

2.4 The first steps - Lean Start-up

Collecting Feedback

Rule 4 – Past > Future

How often do you exercise?

How often did you exercise last week?

2.4 The first steps - Lean Start-up Collecting Feedback

Rule 5 – Create a relaxed atmosphere



2.4 The first steps - Lean Start-up

Collecting Feedback

Summary

1. Sell nothing, pitch nothing
2. Ask open questions
3. 80% listening, 20% speaking
4. Past-related data is more valuable than future-related data
5. Create a relaxed atmosphere

2.4 The first steps - Lean Start-up

Collecting Feedback

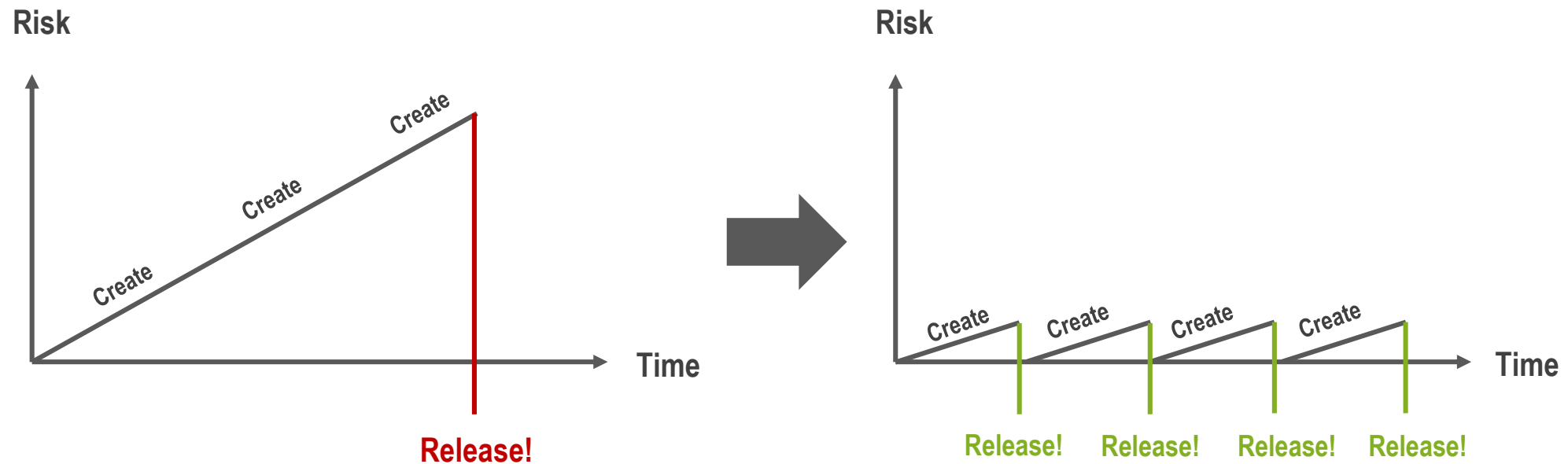
Bad Feedback

- » Compliments
 - » Problem: Shows you are in pitch mode and not getting authentic feedback
 - » Response: Refocus conversation
- » Generalizations
 - » Problem: Hypothetical and generic
 - » Reaction: Ask specifically
- » Ideas
 - » Problem: Conversation slips and the interviewee tries to pitch an idea
 - » Reaction: Ask for concrete reasons for the idea ("Why do you wish this?")

2.4 The first steps - Lean Start-up

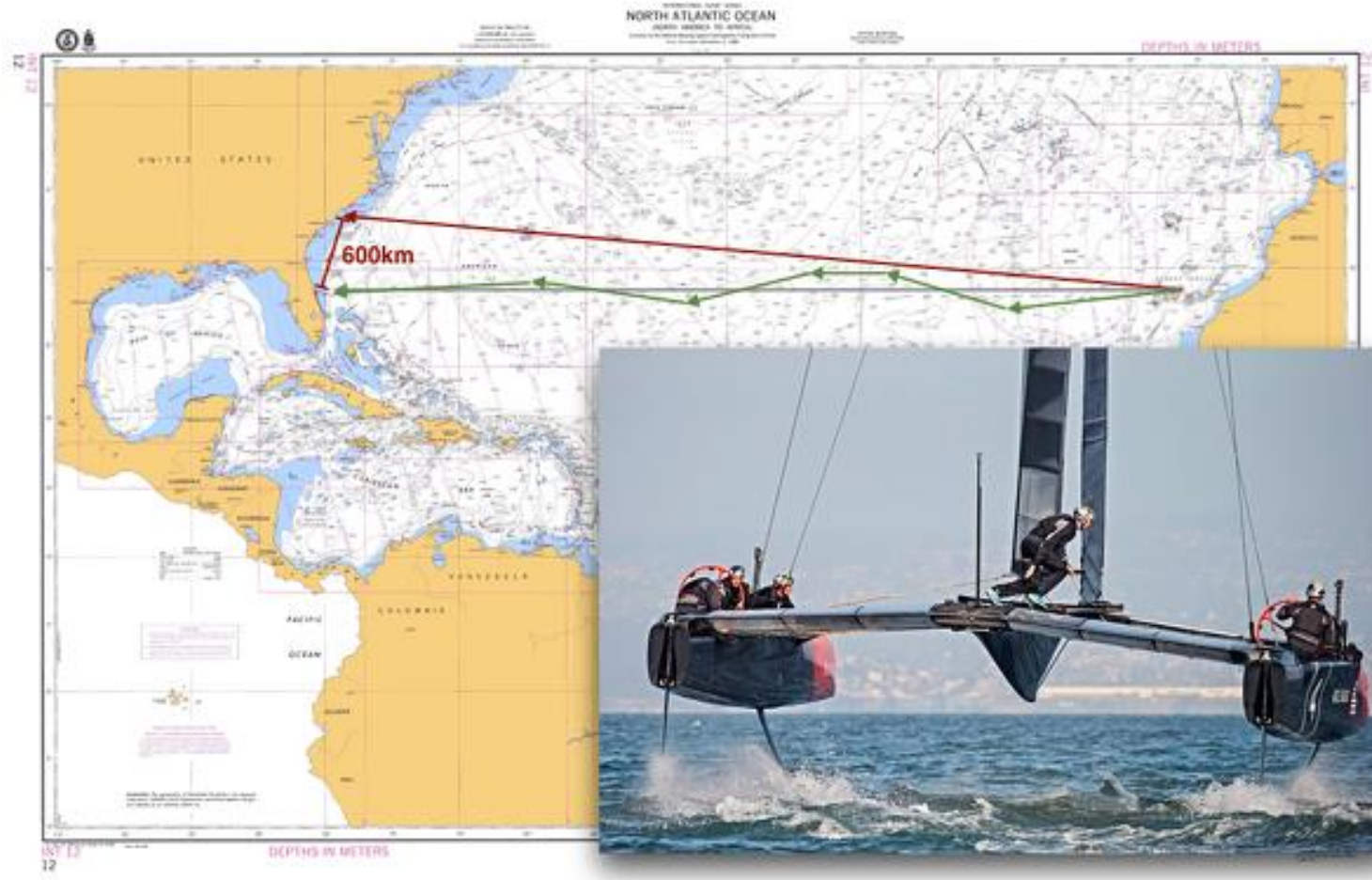
“Fail Fast” principle

» Minimize risk through the "fail fast" principle

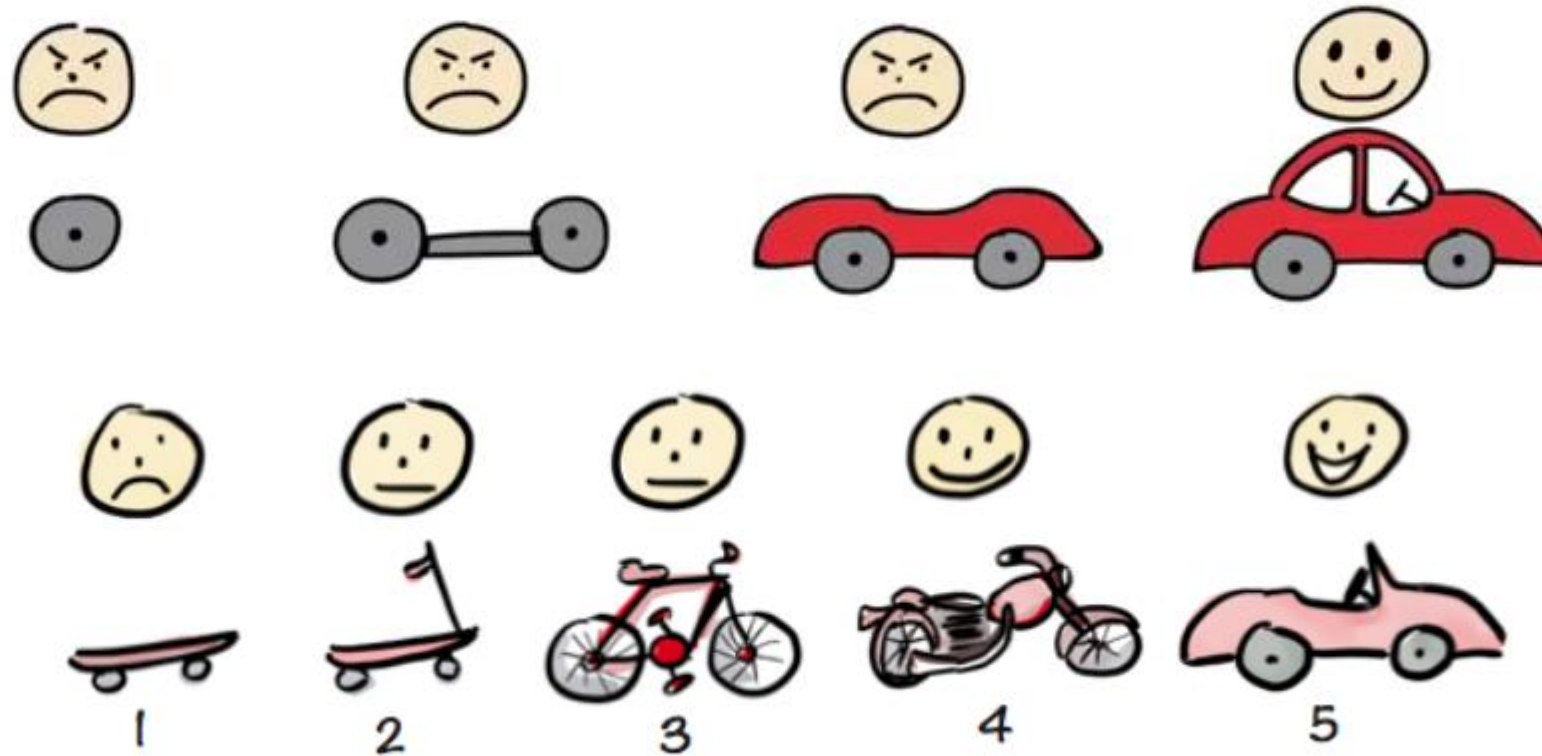


2.4 The first steps - Lean Start-up

Course corrections are often necessary



2.4 The first steps - Lean Start-up Minimum Viable Product



2.4 The first steps - Lean Start-up

Minimum Viable Product

Minimum Viable Product:

A product with the minimum requirements and characteristics, which serves to gain the most extensive validated knowledge about the potential customers with the least possible effort.

- » Goal: Create a product with only the most necessary functions as quickly as possible in order to gather feedback with it
- » Advantage of an MVP:
 - » Faster
 - » Cost reduction
 - » Risk minimization
 - » Customer access
 - » Further development

2.4 The first steps - Lean Start-up Minimum Viable Product



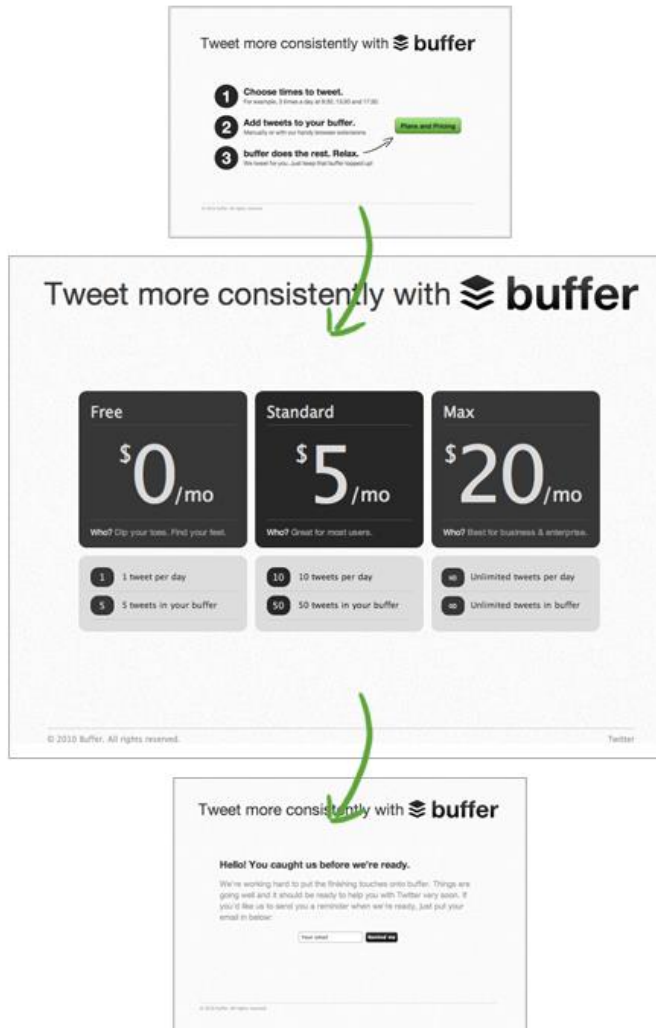
2.4 The first steps - Lean Start-up Minimum Viable Product

Example: Buffer



2.4 The first steps - Lean Start-up Minimum Viable Product

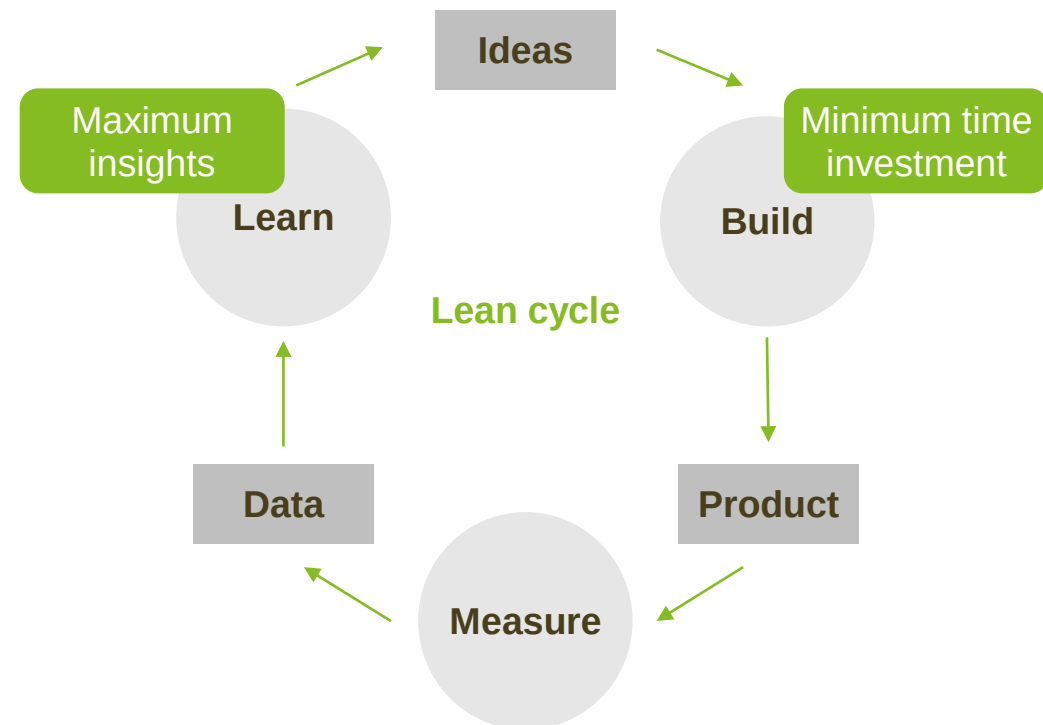
Example: Buffer



2.4 The first steps - Lean Start-up Minimum Viable Product

Overview

» The MVP is used in the learn-build-measure cycle and enables rapid learning



Different MVP Types:

1. Concierge MVP
2. Wizard of Oz MVP
3. Landing Page MVP
4. Email MVP

2.4 The first steps - Lean Startup

Minimum Viable Product

Concierge MVP

Concierge MVP: Instead of building the product, users are manually supported in achieving their individual goals (so-called concierge) to find out if there is a need for the product or application.

Advantages

- » Direct customer contact
- » Gaining insights without product buildup
- » Customer interaction at the point of use (Ethnographic interaction)

Disadvantages

- » Bias in results due to sympathy towards concierge
- » Product buildup necessary after gaining knowledge

2.4 The first steps - Lean Startup

Minimum Viable Product

Wizard of Oz MVP

Wizard of Oz MVP: Users are outwardly assured that the product or application is fully functional, but the processes in the background are still improvised.

Advantages

- » Low cost
- » Fast set up
- » Less subjective data basis (see Concierge MVP)

Disadvantages

- » Requires knowledge to implement the background processes

2.4 The first steps - Lean Start-up

Minimum Viable Product

Landing Page MVP

Landing Page MVP: Users are introduced to the product or application on a landing page, the benefits of using it are described (so-called value proposition), and they are given the opportunity to request further information, sign up for a mailing list, etc.

Advantages

- » Very fast set up
- » Early validation of the value proposition
- » Access to contact details of interested users (e.g. for interviews)
- » Multiple landing pages: testing of different content possible

Disadvantages

- » No product purchase
- » No direct insight into user behavior and underlying needs

2.4 The first steps - Lean Start-up

Minimum Viable Product

Email MVP

Email MVP: Users within the existing customer group are introduced to the product or application via email and feedback is collected using a call-to-action (CTA) button.

Advantages

- » Very fast set up
- » Early validation of the USP
- » Simple recording (e.g., via click rates)

Disadvantages

- » Existing customer data required
- » Only interest is expressed, no product purchase is made
- » No direct information about the behavior and needs of the users

A few transfer questions

- » A fellow student of yours would like to start a business. How should she go about it?

A few transfer questions

- » You are founding a startup that produces vegan milkshakes. You want to collect customer feedback as quick as possible. What are potential strategies to quickly collect feedback and which mistakes should be avoided?

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2.5 Types of start-ups

Discussion

Start-up rate

Which country has the highest start-up rate?

2.5 Types of start-ups



2.5 Types of start-ups

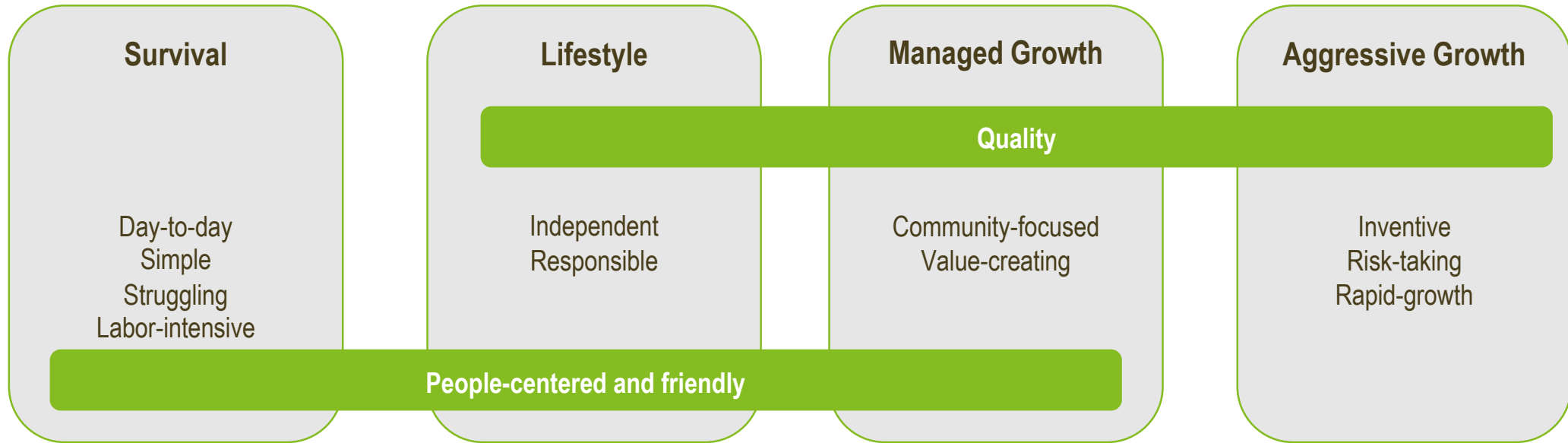


Illustration according to Morris et al. 2018

2.5 Types of start-ups

Distinguishing features

	<u>Survival Ventures</u>	<u>Lifestyle Ventures</u>	<u>Managed Growth Ventures</u>	<u>Aggressive Growth Ventures</u>
Annual growth	Not available	Very low (< 5%)	Moderate (10-15%)	High (>20%)
Planning horizon	Daily	Weekly – monthly	1-2 years	2-5 years
Management	Reactive	Tactical	Strategic	Strategic and proactive
Entrepreneurial Orientation	Very low	Low	Moderate	High
Technology Investment	None	Low	Moderate	High

Illustration according to Morris et al. 2018

2.5 Types of start-ups

Distinguishing features

	<u>Survival Ventures</u>	<u>Lifestyle Ventures</u>	<u>Managed Growth Ventures</u>	<u>Aggressive Growth Ventures</u>
Source of income for ...	Entrepreneur	Entrepreneur, family and friends, bank	Entrepreneur, family and friends, bank, private investors	Bank, private investors, venture capital firms, public markets
Exit-strategy	Close	Close, sell, transfer	Sell, merge, transfer	Sell, merge, IPO
Management skills	Do & close	Operational skills, fundamentals in management	Planning, strategic thinking & acting, delegation, growth	Planning, innovation, cash flow management, negotiating
Economic goals	Survival	Income replacement	Asset generation	Asset generation

Illustration according to Morris et al. 2018

2.5 Types of start-ups

Distinguishing features

- » Task in small groups (7 minutes):
- » **Discuss Managed Growth Ventures versus Aggressive Growth Ventures.**
- » **Under what circumstances would which type of startup make more sense?**



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2.6 The suitable business model

Significance of business models



Brian Chesky ✓

@bchesky

Folgen

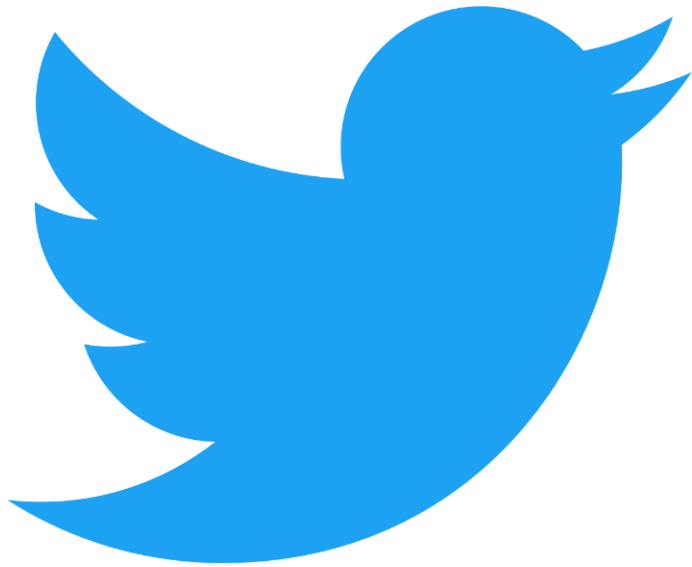


Marriott wants to add 30,000 rooms this year.
We will add that in the next 2 weeks.

20:11 - 10. Jan. 2014

2.6 The suitable business model

Significance of business models

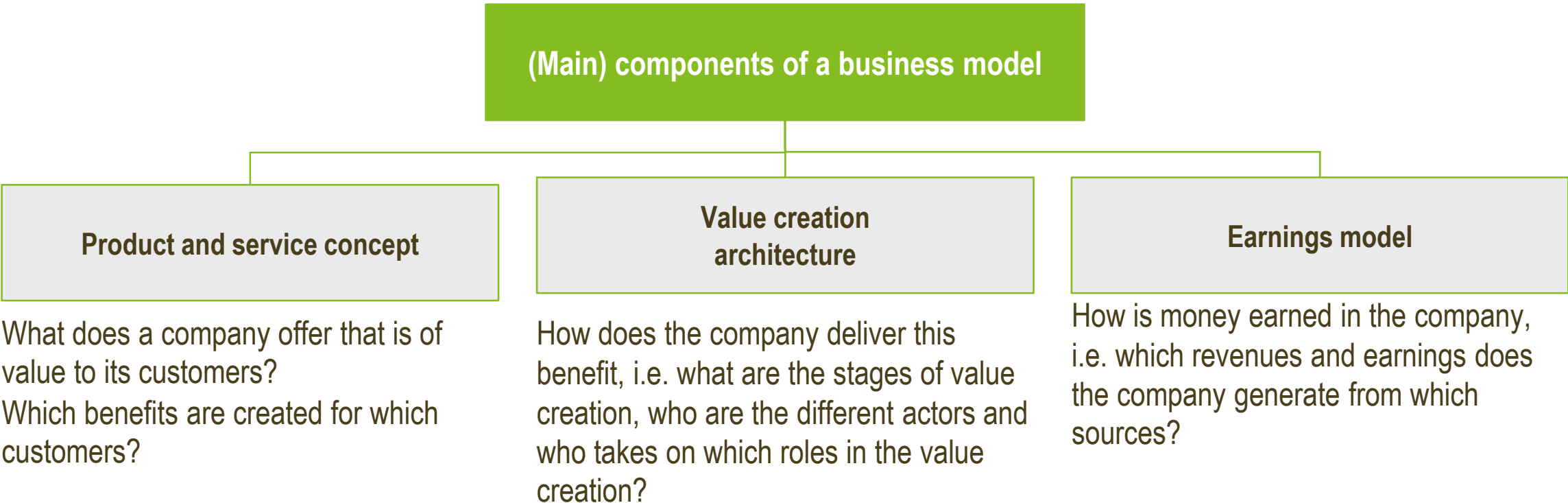


2.6 The suitable business model

Definition business model

A business models describes in simplified form how a company creates economic value.

(Main) components of a business model



Product and service concept

What does a company offer that is of value to its customers?
Which benefits are created for which customers?

Value creation architecture

How does the company deliver this benefit, i.e. what are the stages of value creation, who are the different actors and who takes on which roles in the value creation?

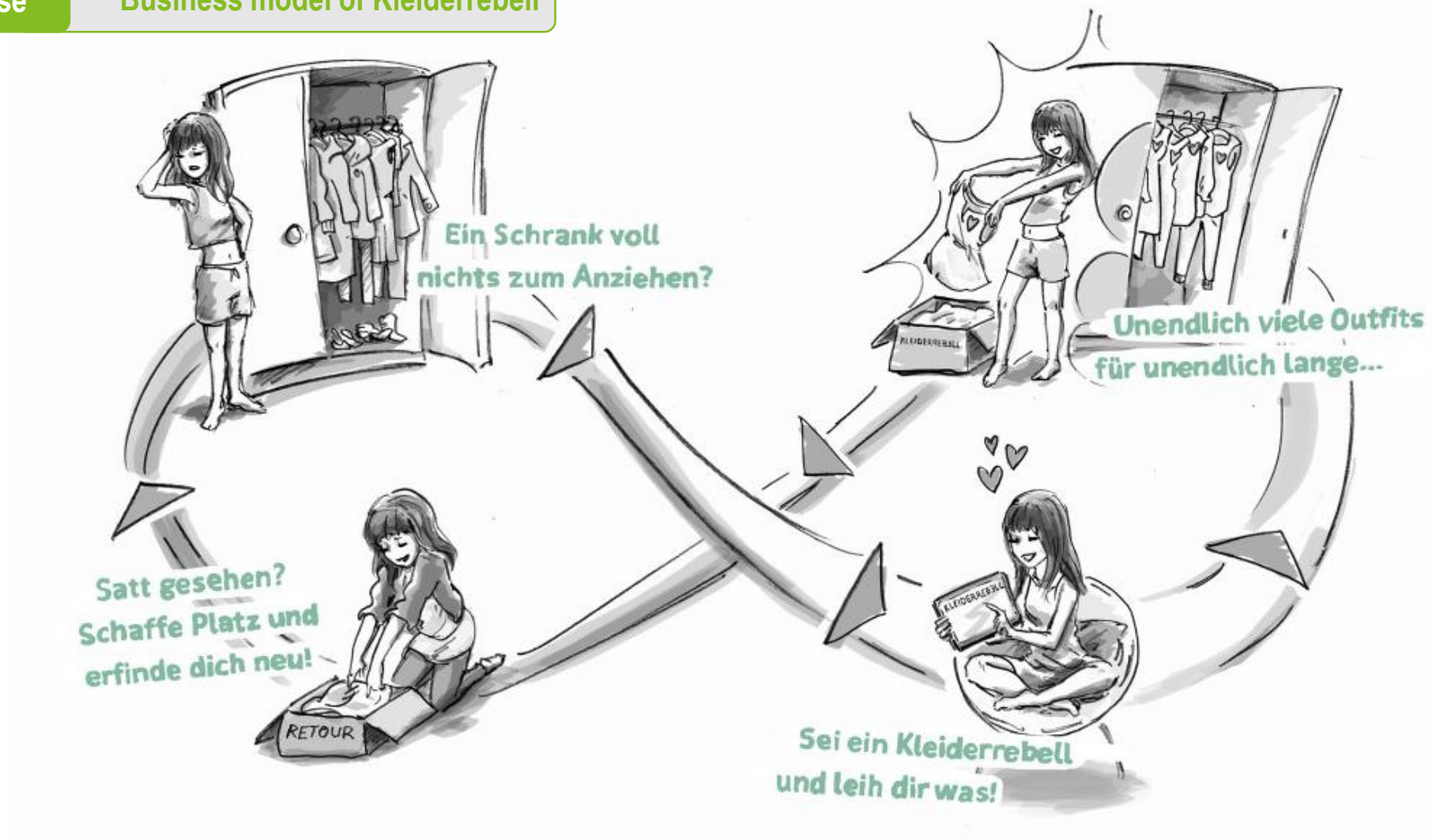
Earnings model

How is money earned in the company, i.e. which revenues and earnings does the company generate from which sources?

2.6 The suitable business model

Exercise

Business model of Kleiderrebell



2.6 The suitable business model

Exercise

Business model of Kleiderrebell

Exercise in small groups:

Determine the business model of Kleiderrebell

- Product and service concept
- Value creation architecture
- Earnings model



2.6 The suitable business model

Exercise

Business model of Kleiderrebell

Business Model of Kleiderrebell

2.6 The suitable business model

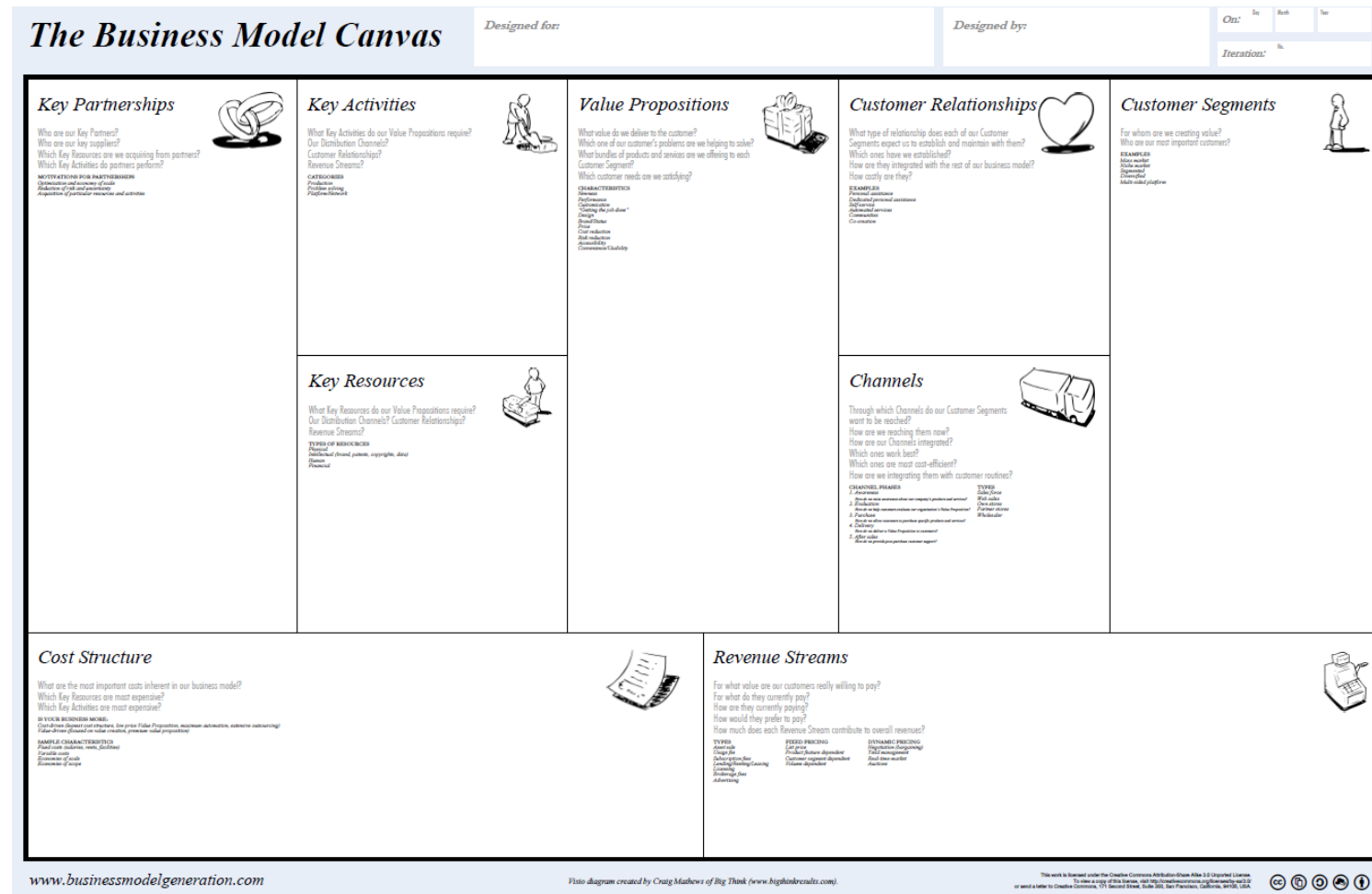
Business Model Canvas

Definition Business Model Canvas

A Business Model Canvas is a tool to represent and analyze the business model of a company.

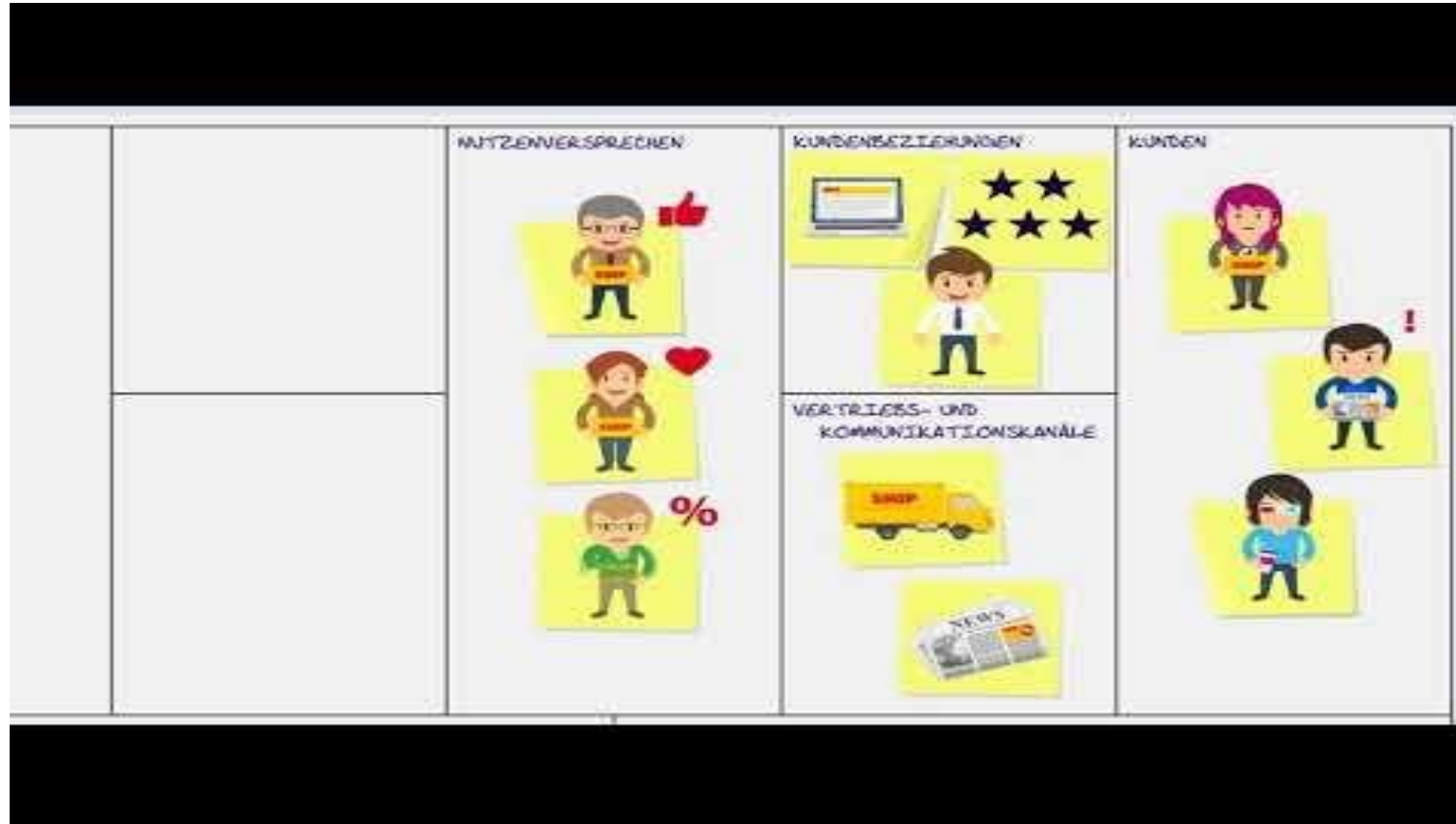
- » Is used to ...
 - » review and develop the business model of existing companies
 - » develop the business model of new start-up ideas

2.6 The suitable business model Business Model Canvas



2.6 The suitable business model

Business Model Canvas



<https://www.youtube.com/watch?v=QoAOzMTLP5s>

2.6 The suitable business model

Business Model Canvas

» Customers

- » Who are our most important customers?
- » Who are our users?
- » Who influences our users?
- » What are the most important habits of our customers?
- » Which customer segments should we address?

» Value Proposition

- » What exactly is the problem we want to solve?
- » Is it a relevant problem?
- » How much value do we generate for the customers?

2.6 The suitable business model

Business Model Canvas

- » Distribution channels
 - » How will we convince customers of our value proposition?
 - » Which distribution channels are the most favorable?
 - » Which distribution channels are our customers used to?
- » Customer relations
 - » How do we reach customers?
 - » How can we maintain existing customer contacts?
 - » How do we expand our customer base?

2.6 The suitable business model

Business Model Canvas

- » Sources of income
 - » How exactly do we generate profit?
 - » How do we set prices?
 - » How much flexibility do we give our customers, e.g. with installment payments?
 - » What is our customers' willingness and ability to pay?

2.6 The suitable business model

Business Model Canvas

» Main activities

- » Which activities are particularly important for our business?
- » How can we optimize these activities?
- » Which activities can we outsource?

» Main resources

- » Which resources are particularly important to us?
- » What risks are associated with the procurement of these resources?
- » How can we minimize these risks?
- » Are there alternatives for our most important resources?

2.6 The suitable business model

Business Model Canvas

- » Main partnerships
 - » Who are our main partners?
 - » Who are our main suppliers?
 - » What is the culture of our partners?
 - » How can we improve our partnerships?

- » Cost structure
 - » What are our main cost drivers?
 - » Which activities and resources are particularly expensive?
 - » How can we reduce our costs?

A transfer question to exercise....

Exercise

Nespresso

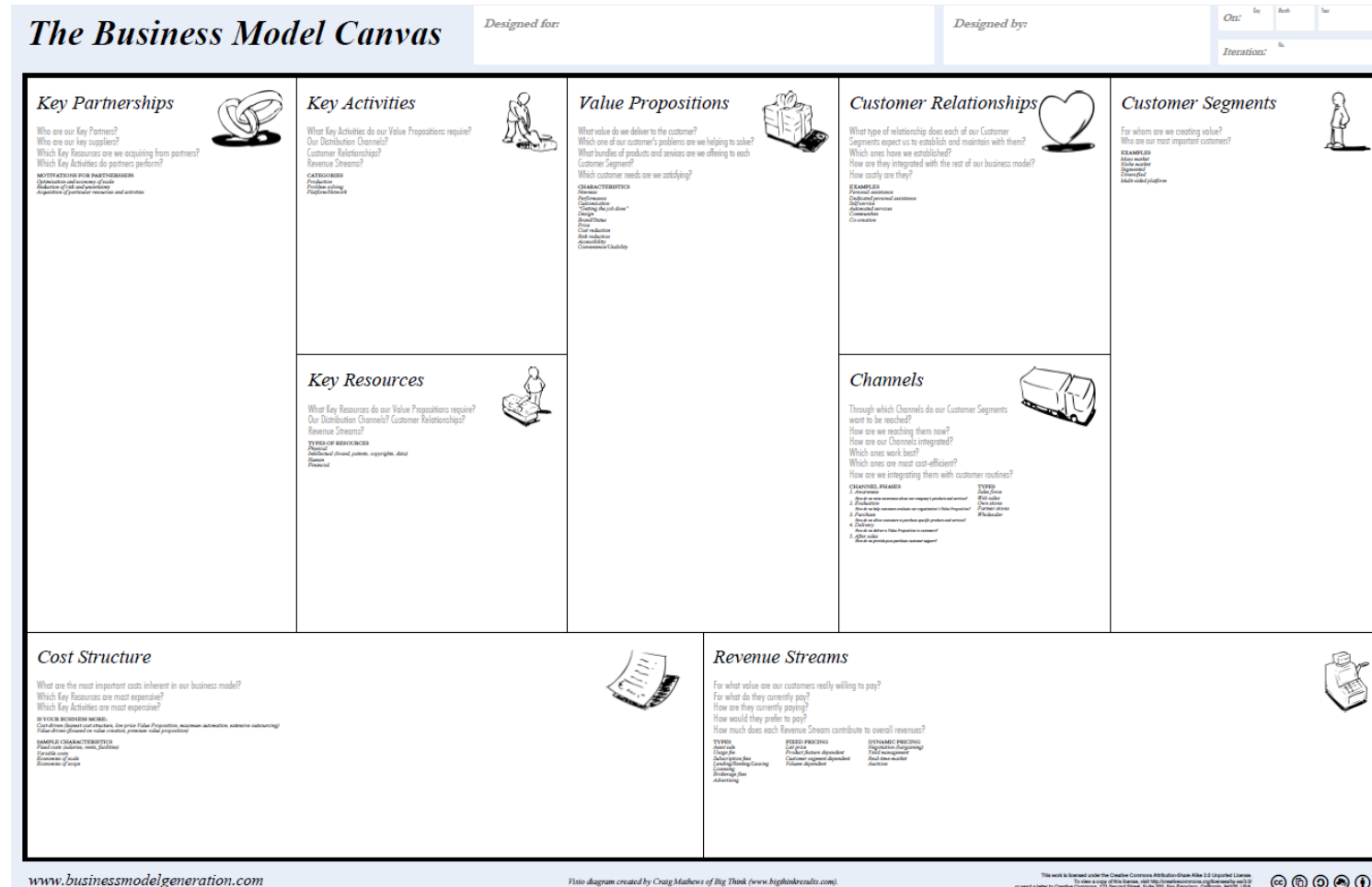
- » Develop a business model canvas for Nespresso! Focus on the capsules business.



2.6 The suitable business model

Exercise

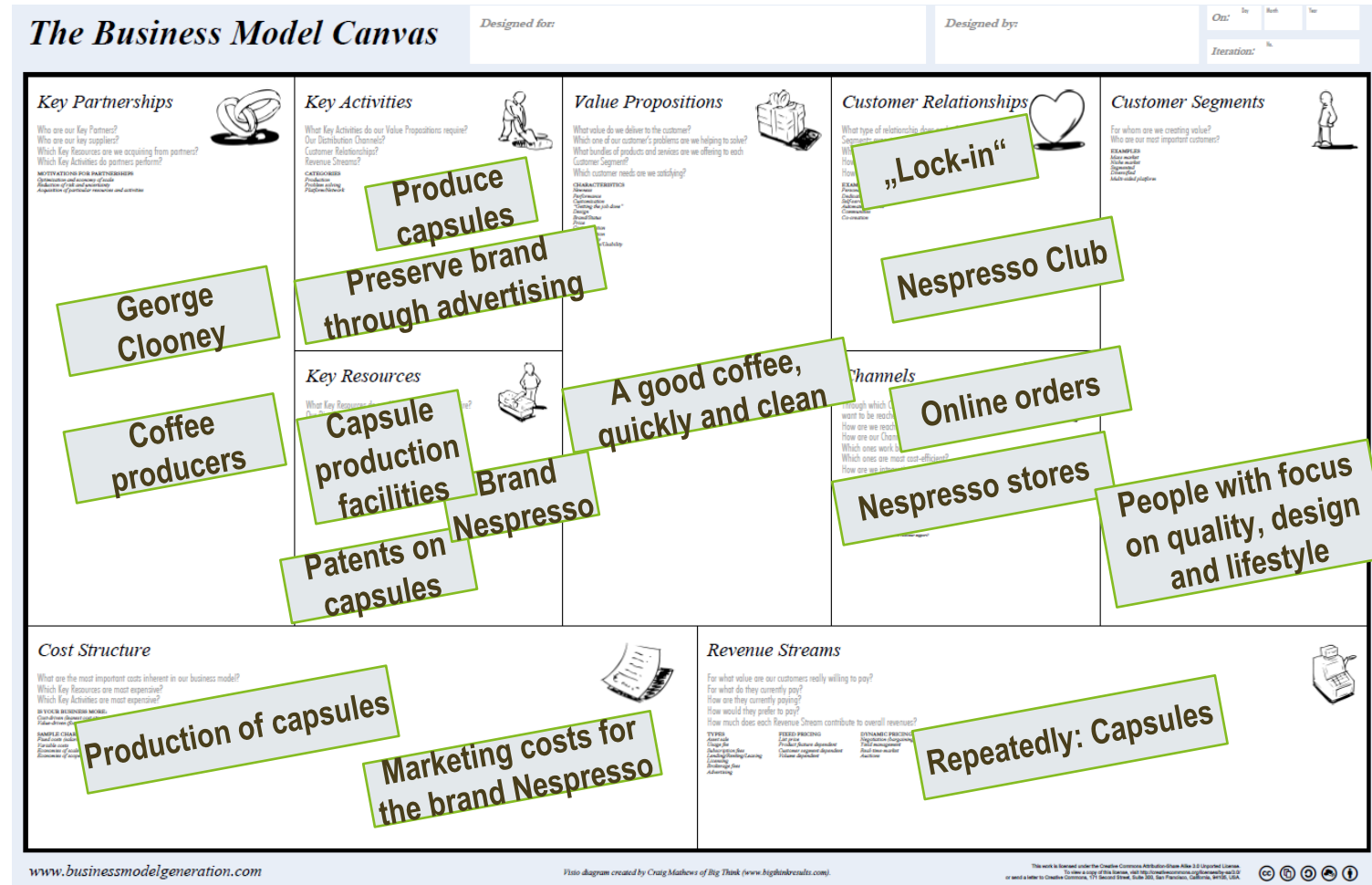
Nespresso



2.6 The suitable business model

Exercise

Nespresso



2.6 The suitable business model

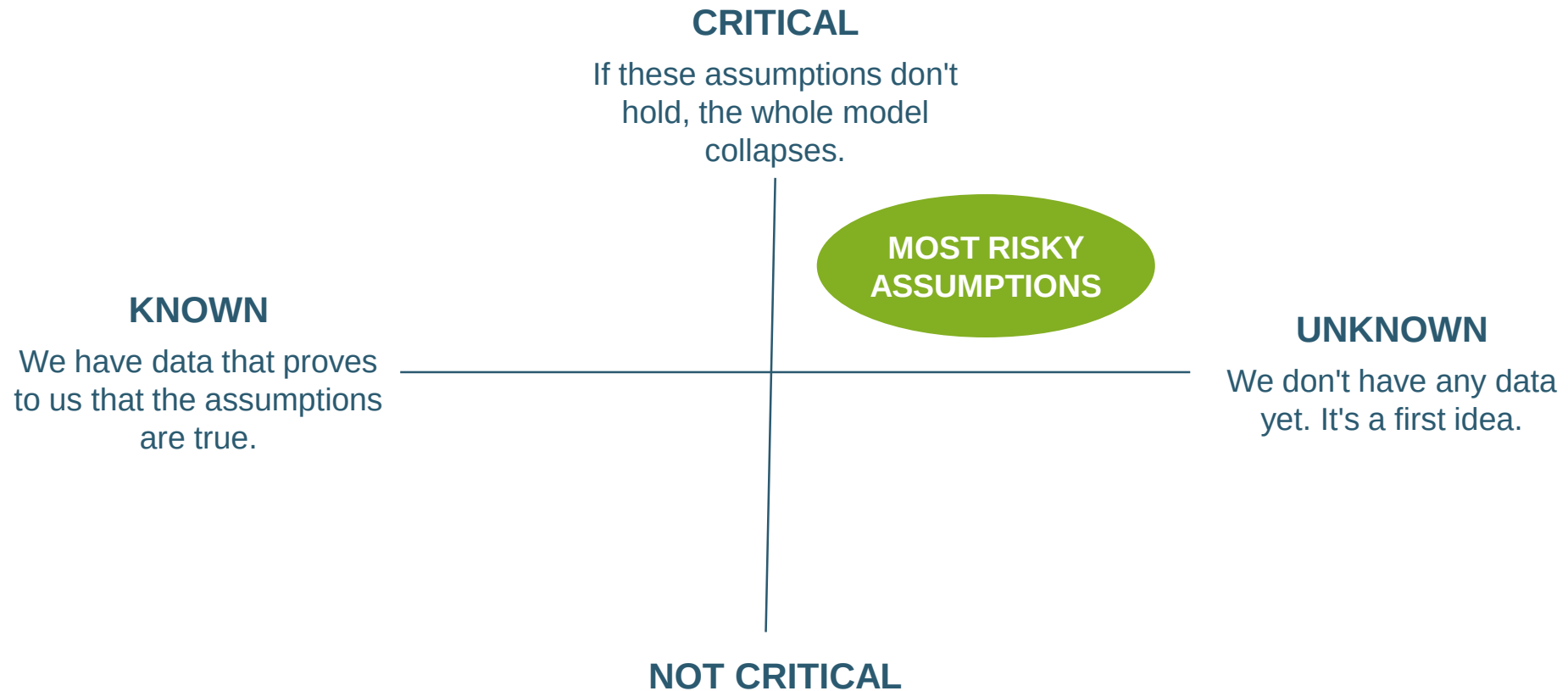
Assumptions in the Business Model

Behind every business model there are central assumptions!

What were the assumptions made by Nespresso's founders at the beginning of its operations?

2.6 The suitable business model

Assumptions in the Business Model



2.6 The suitable business model

Assumptions in the Business Model

Test by an MVP

- » Assumptions can (and should!) be tested as far as possible.
- » Assumption of Zappos in the founding year 1999: people buy shoes online
- » Test page with shoe pictures that were taken in a neighboring shoe store
- » When customers wanted to buy a pair of shoes, Nick Swinmurn went to the shoe shop and bought the shoes and then sent them off

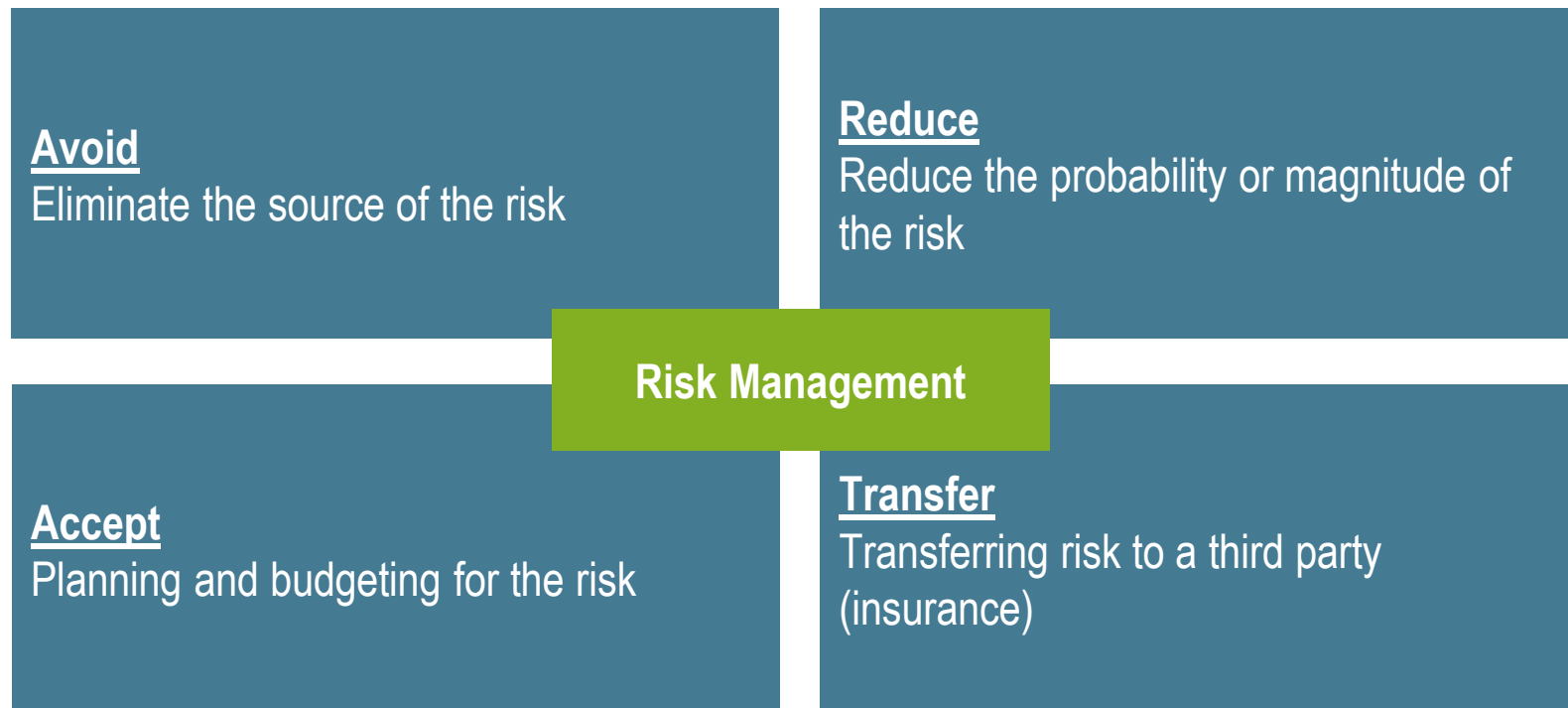


2.6 The suitable business model

Assumptions in the Business Model

Risk Management

There are different ways of dealing with the risks, that arise from assumptions!



2.6 The suitable business model

Gather Feedback



2.6 The suitable business model

Business model I - Cross Selling

Business model:

- » A company's current range of services is supplemented by complementary products and services.
- » The aim of the model is to generate additional sales.
- » The additional sales make efficient use of existing customer relationships as well as the company's resources and capabilities.

Examples:



2.6 The suitable business model

Business model II – No Frills

Business model:

- » A product or service is reduced to its core.
- » This reduction to the core lowers costs.
- » Savings are shared with the customer. Thus, the offer appeals to customers with low purchasing power or willingness to pay.

Examples:



2.6 The suitable business model

Business model III – Layer Player

Business model:

- » Company that specializes in providing a small number of services in a value chain.
- » The high degree of specialization enables efficiency-related specialization advantages, in particular through the possibility of multiple use of know-how and property rights.
- » Specialized service is offered across diverse market segments.

Examples:



2.6 The suitable business model

Business model IV – White Label

Business model:

- » White label manufacturers allow other companies to offer manufactured products under their own brand names.
- » The product labels bear the brand names of the companies offering the products, giving the impression that the company offering the products is also the producer.
- » Nearly identical products are thus sold with different brand names to different customer segments.

Examples:



FOXCONN

2.6 The suitable business model

USP - Definition

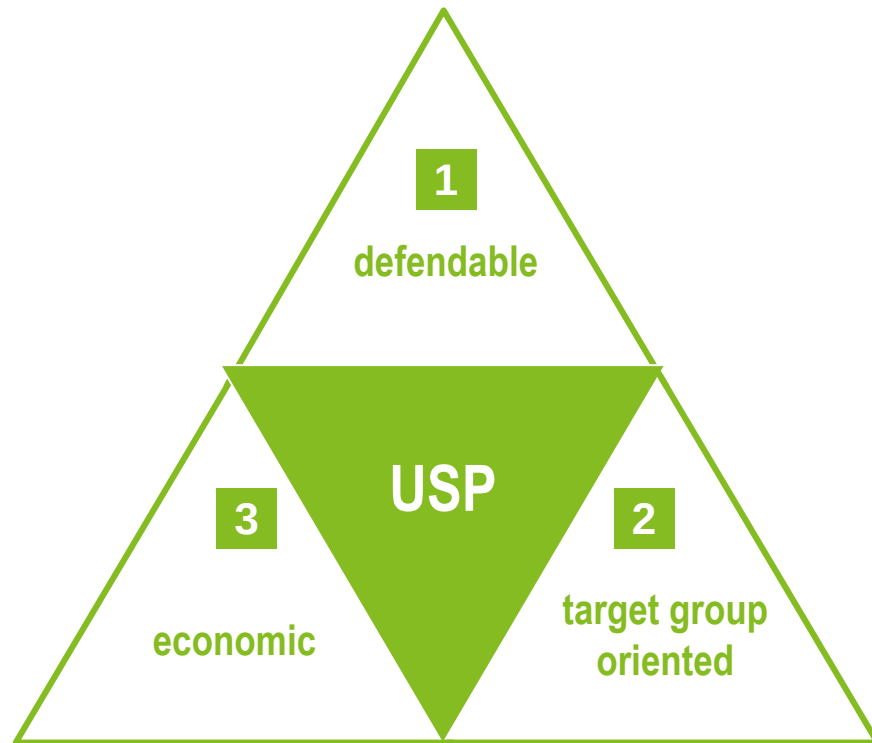
Definition Unique Selling Proposition

The Unique Selling Proposition describes the stand-out feature of a product and thus clarifies the aspect in which the product clearly differs from other products on the market.

- » Present in marketing theory since 1940
- » Originally: related exclusively to **technological advantage** or **specific product benefit** that alternative products did not offer (e.g., only cell phone with touchscreen)
- » Today: extended to include the **strength/differentiation** of a brand as perceived by customers, because "real" product differences are rare or not very sustainable
- » USP helps with successful brand positioning and can increase customer appeal

2.6 The suitable business model

Characteristics of the USP



Characteristics

- Technical features
- Service
- Design
- Product-Market combination
- Brand/image

When working out the unique selling proposition, I should ask the customer!

2.6 The suitable business model

Examples

USP Online Shopping



More brands than any other fashion retailer

Explore over 5,800 brands – from high street to high-end – with free shipping and returns*

Identifiable **USP**:

- Choice (assortment)
- Brand diversity
- Service (free shipping)

VS.

ABOUT YOU[®]



Identifiable **USP**:

- Individuality / Customer centricity

2.6 The suitable business model

Examples

USP

Pricing USP



“Travel **cheaply** and **comfortably** by bus”



Cheap air travel

Quality USP



Beer under German purity law



ZWILLING
J.A.HENCKELS

Long history and manufacture in the
"knife city" of Solingen

Service USP



100-day return policy with free
pickup



Thank you!
Questions?